

Is Outsourced GovCon Business Development a Growing Market?

A data-driven market-intelligence study for ACE Business Development

Headline finding (real GAO data, FY2015-FY2024):

- Federal contract obligations grew +72.4% over the decade (CAGR 6.24%/yr, trend +6.35%/yr, $p < 0.001$).
- Baseline forecast reaches ~\$1143B by FY2030 (range \$1044B-\$1364B).
- Top ACE target segments: Commercial tech firm entering federal, Fast-growing cyber/AI/cloud SMB, F&E.
- Outsourced-BD demand is measured via documented proxies — this is descriptive/associational, not causal. See Limitations.

Prepared by: Taylor Nguyen

Method: GAO Snapshot of Government-Wide Contracting + transparent proxy framework

Data provenance: [data/raw/SOURCES.md](#) | Reproduce: [README.md](#)

1. Executive Summary

The business question: Is outsourced GovCon BD a growing market, and where can ACE capitalize?

Federal contracting — the pond every outsourced-BD client fishes in — grew from \$438B in FY2015 to \$755B in FY2024, a +72.4% increase (CAGR 6.24%/yr). A log-linear trend estimates +6.35% per year and is highly significant ($p < 0.001$, $R^2 = 0.96$, $n = 9$ GAO data points).

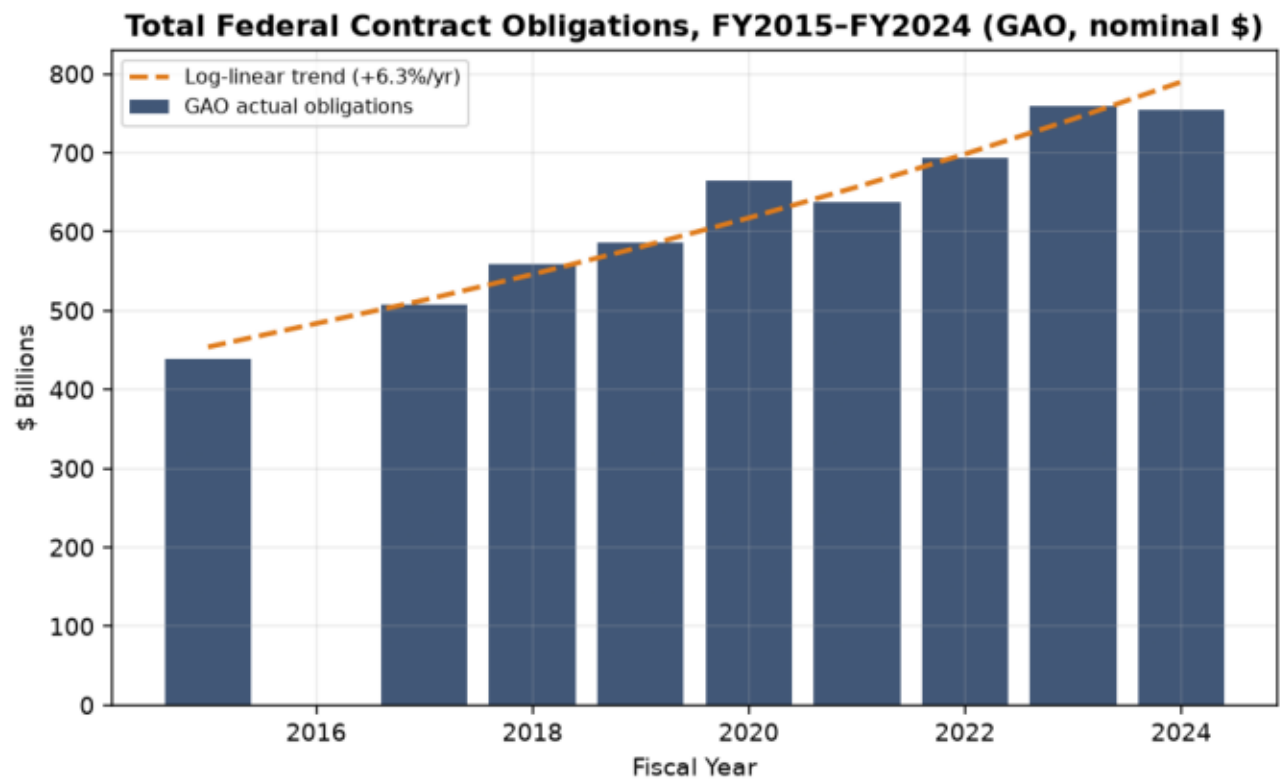
There is no public dataset that directly measures 'spending on outsourced GovCon business development.' So this study measures the CONDITIONS that create demand for it — the size and growth of federal contracting, the technology-spend mix, contractor entry, and procurement complexity — and scores which contractor segments are most likely to buy.

Forecast: under a baseline trend, federal contract obligations reach ~\$1143B by FY2030 (conservative \$1044B, high-growth \$1364B). Federal IT obligations rose to ~\$126B in FY2024 (+5% YoY), continuing a tech-led shift that favors outsourced BD for tech entrants.

Where ACE should focus: the highest-propensity segments are Commercial tech firm entering federal, Fast-growing cyber/AI/cloud SMB, Recent federal entrant (any sector). These share three traits — recent or imminent federal entry, operation in fast-growing technology markets, and a high likelihood of lacking a mature in-house BD/capture function.

Confidence & honesty: the contracting growth and forecast use REAL GAO figures. The outsourced-BD demand read-through is a proxy argument, not a measured dollar market. Findings are associational, not causal, and the segment score is a transparent prioritization heuristic, not a trained model.

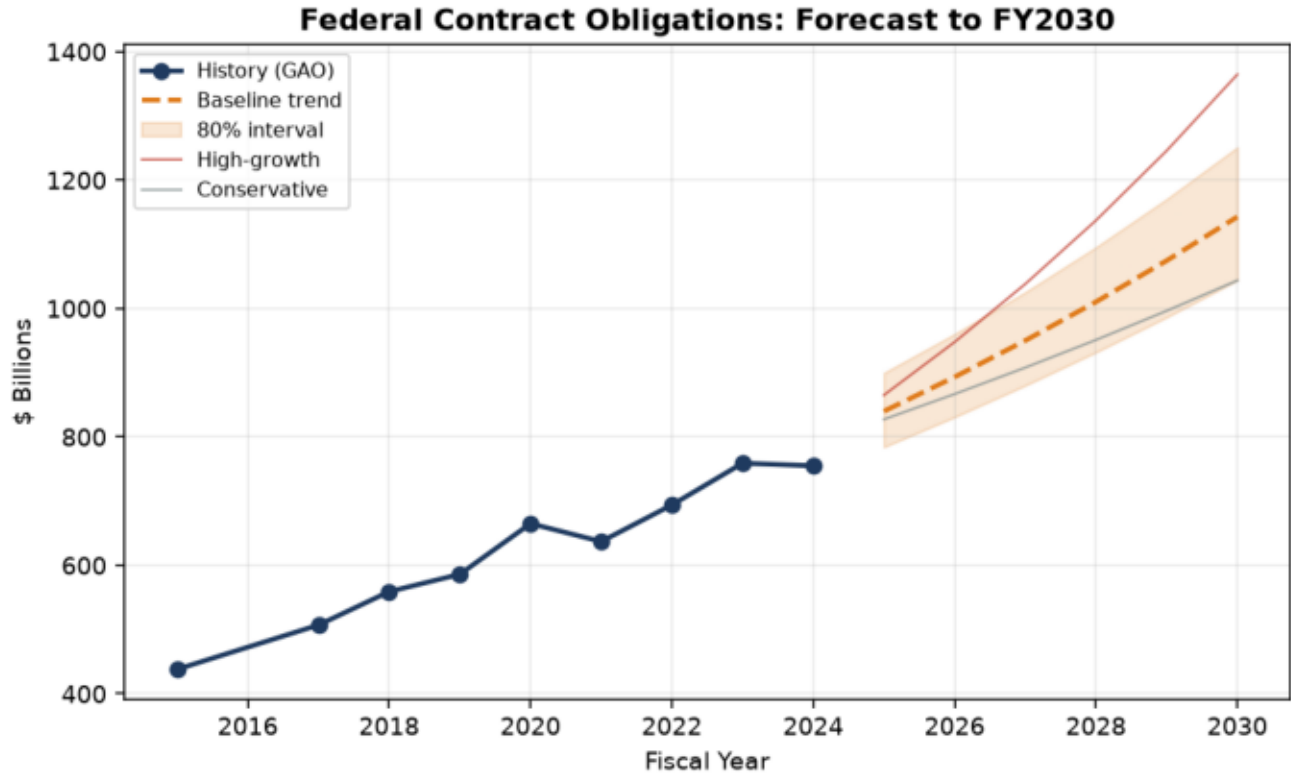
2. Federal Contracting Grew Sharply Over the Decade



Source: GAO Snapshot of Government-Wide Contracting (nominal \$). Provenance: data/raw/SOURCES.md. FY2016 omitted (n

first_busd	last_busd	cumulative_growth	cagr_pct	trend_annual_growth	trend_p_value	r2	n
438.0	755.0	72.4	6.24	6.35	0.0	0.959	9.0

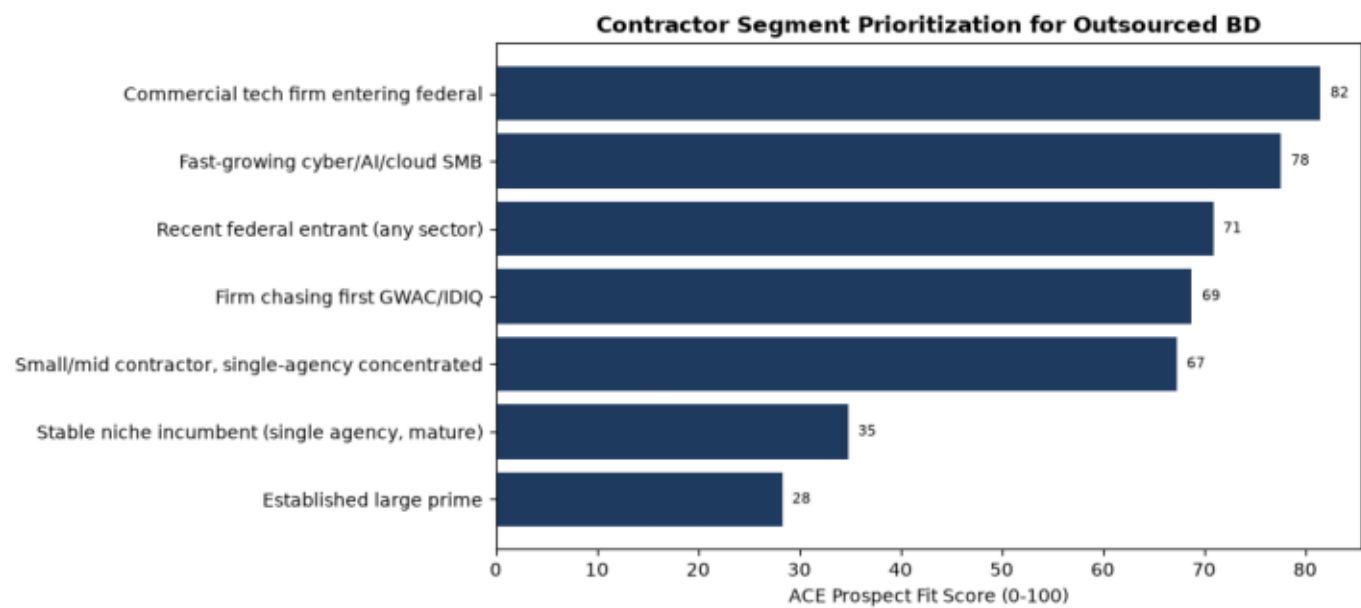
3. Forecast to FY2030 (Three Scenarios)



Baseline = log-linear trend with 80% prediction interval. Conservative assumes ~1.5%/yr below-trend drag (flat budgets/CRS)

fiscal_year	conservative_bUSD	baseline_trend_bUSD	high_growth_bUSD
2025.0	827.3	839.9	865.1
2026.0	866.7	893.3	947.7
2027.0	907.9	950.0	1038.1
2028.0	951.0	1010.3	1137.1
2029.0	996.3	1074.5	1245.6
2030.0	1043.6	1142.7	1364.4

4. Which Contractors Are Most Likely to Buy Outsourced BD



ACE Prospect Fit Score — a transparent, additive heuristic (formula in `src/07_segmentation.py`). Not a trained model: there is no backfitting.

Contractor segment	ACE Prospect Fit (0-100)
Commercial tech firm entering federal	81.5
Fast-growing cyber/AI/cloud SMB	77.6
Recent federal entrant (any sector)	70.9
Firm chasing first GWAC/IDIQ	68.8
Small/mid contractor, single-agency concentrated	67.3
Stable niche incumbent (single agency, mature)	34.8
Established large prime	28.3

5. Implications for ACE Business Development

Where to look for clients: prioritize Commercial tech firm entering federal, Fast-growing cyber/AI/cloud SMB, Recent federal entrant (any sector). The common thread is firms with strong technical capability but weak federal sales infrastructure — exactly the gap outsourced capture/proposal/market-entry services fill.

Most attractive segments: (1) commercial tech firms crossing into federal for the first time; (2) fast-growing cyber/AI/cloud SMBs; (3) recent entrants concentrated in a single agency who need to diversify; (4) firms chasing their first GWAC/IDIQ vehicle.

Markets driving demand: the technology categories (IT, cyber, cloud, AI) growing faster than the overall ~6%/yr base. Federal IT reached ~\$126B in FY2024; tech entrants are the prototypical buyer.

Positioning: sell capture + proposal + federal market-entry as a MANAGED SERVICE ('fractional BD'), emphasizing vehicle strategy (how to get on GWAC/IDIQ/BPA) where procurement complexity is highest.

Data ACE should collect internally to upgrade this model: win/loss by pursuit; each client's size and federal tenure at engagement start; agency concentration; services purchased; outcomes. That turns this heuristic into a trainable propensity model and lets ACE measure true ROI by segment.

6. Methodology, Data & Limitations

DATA (real): GAO 'Snapshot of Government-Wide Contracting' annual totals, FY2015–FY2024 (nominal \$, FPDS/USAspending basis), plus published federal-IT figures. Every value is cited in [data/raw/SOURCES.md](#).

WHY GAO (not the live API): the build environment's network was firewalled from [api.usaspending.gov](#) and FRED, so the granular live pull could not run here. The full reproducible API pipeline ([src/01-08](#)) is built and ready; run it with network access to refresh and extend (agency/NAICS panels, the composite BD Demand Index, and panel fixed-effects regressions).

METHODS: CAGR and a log-linear trend regression with Newey–West (HAC) standard errors for the growth test; log-linear trend with 80% prediction intervals plus an ARIMA cross-check and three assumption-based scenarios for the forecast; a transparent additive scoring heuristic for segmentation.

LIMITATIONS (read before quoting): (1) No direct dependent variable — outsourced-BD spend is unobservable; this is a proxy argument. (2) Associational, not causal — no identification strategy. (3) Small N (~9 annual points) → low power, wide forecast bands. (4) Figures are nominal; GAO notes FY2024 was a real-terms decline vs FY2023. (5) FY2016 omitted rather than fabricated. (6) The segment score encodes judgment, not validated prediction.

BOTTOM LINE: the FEDERAL CONTRACTING MARKET clearly grew over the decade and is projected to keep growing to 2030 — a favorable backdrop for outsourced BD. The specific size of the outsourced-BD niche remains an inference, not a measured figure, until internal ACE data or the granular pull is added.

The exact formulas and worked calculations behind every number are in the Appendix (next two pages).

Appendix A — The Math: Growth & Forecast

Every value below is computed in `src/09_published_data_analysis.py` from the GAO series.

Inputs: $V_{\text{start}} = \$438\text{B}$ (FY2015), $V_{\text{end}} = \$755\text{B}$ (FY2024), span $n = 9$ years.

1) Cumulative growth

$$(V_{\text{end}} - V_{\text{start}}) / V_{\text{start}} = (755 - 438) / 438 = 0.724 = +72\%$$

2) Compound annual growth rate (CAGR)

$$(V_{\text{end}} / V_{\text{start}})^{(1/n)} - 1 = (755/438)^{(1/9)} - 1 = 0.062 = 6.2\% / \text{yr}$$

3) Log-linear trend regression (OLS, Newey-West HAC standard errors, 1 lag)

Model: $\ln(y_t) = a + b \cdot t + e_t$, $t = \text{fiscal year} - 2015$

Estimated: $a = 6.118$, $b = 0.0616$, $R^2 = 0.96$, $n = 9$

Annual growth $= e^b - 1 = e^{(0.0616)} - 1 = 6.3\% / \text{yr}$ ($p < 0.001$)

95% CI on annual growth: [5.6% , 7.1%]

4) Forecast - baseline path

$$y_{\text{hat}}(T) = \exp(a + b \cdot t_T)$$

FY2030 ($t = 15$): $y_{\text{hat}} = \exp(6.118 + 0.0616 \times 15) = \1143B

The shaded band on the forecast chart is the 80% prediction interval from this fit.

(CAGR uses only the two endpoints; the regression slope uses all 9 points -

that is why 6.2% and 6.3% differ slightly. Both are reported, honestly.)

Appendix B — The Math: Scenarios & Scoring

5) Scenario paths (h = number of years beyond FY2024; applied to the baseline trend)

$$\text{conservative}(h) = y_hat(h) \times 0.985^h \qquad \text{high-growth}(h) = y_hat(h) \times 1.03^h$$

$$\text{FY2030 } (h = 6): \text{ conservative} = 1143 \times 0.985^6 = \$1044\text{B}$$

$$\text{high-growth} = 1143 \times 1.03^6 = \$1364\text{B}$$

Assumptions: -1.5%/yr drag (CRs, flat budgets) vs +3%/yr (sustained cyber/AI/cloud).

6) ACE Prospect Fit Score (computed in src/07_segmentation.py)

$$\text{Score} = 100 \times \text{SUM}(w_i * c_i), \quad \text{components } c_i \text{ in } [0,1], \quad \text{weights } w_i \text{ sum to } 1$$

Weights: market-growth .15 firm-size (smaller = higher) .15 new-entrant .15
agency-concentration .12 tech-category .15 vehicle-complexity .10
competitive-intensity .08 weak-internal-BD .10

Worked example - 'Commercial tech firm entering federal' (top-ranked):

$$\begin{aligned} &.15(.9) + .15(.6) + .15(1) + .12(.7) + .15(1) + .10(.5) + .08(.7) + .10(1) \\ &= .135 + .090 + .150 + .084 + .150 + .050 + .056 + .100 \\ &= 0.815 \quad \rightarrow \quad 81.5 / 100 \end{aligned}$$

Each segment is scored the same way; the bar chart on page 4 ranks the results.

The score is a transparent prioritization heuristic, NOT a trained/validated model.